



HOW YIEDL WORKS

2024 - 11 - 11

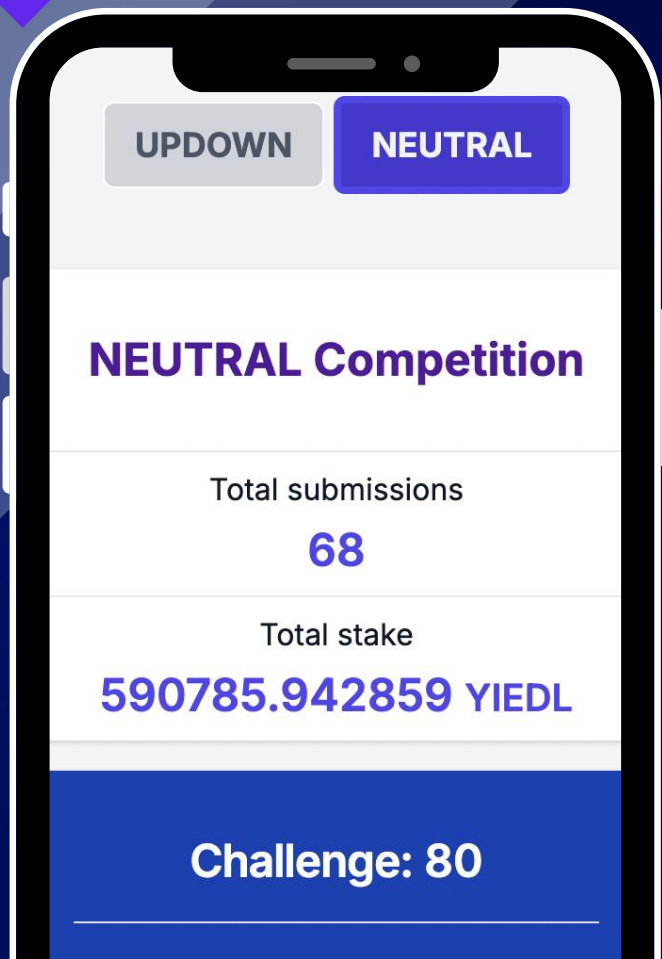
YIEDL.AI





Summary

- **Competition**
- **Questions**
- **Competition scores and rewards**
- **Markets and products**
- **Marketplace**
- **Marketplace bots**
- **Marketplace rewards**



Competition

- New dataset each week (prices, volumes, alternative data); more than 2700 assets with names, 500MB
- Participants (predictors) send predictions from competition dApp
- Participant stake an amount of YIEDL on each prediction
- Predictions encrypted and stored on IPFS decentralized storage, predictions hashes and IPFS identifiers are stored on Polygon blockchain
- Prediction transmission is registered and predictions cannot be tampered
- Predictions can be decrypted only by the Yiedl backend
- At the end of the week decryption keys are written to blockchain
- Predictions become public and rewards can be checked for correctness
- Data scientist can build a public and tamperproof reputation
- Can be extended to models



Questions

Forecast a basket of 100 crypto assets (also possible: stocks, futures...)

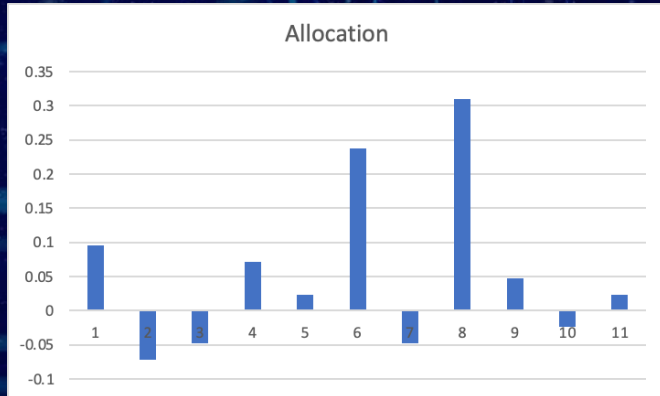
Two questions asked weekly (also possible: daily, hourly, real-time)

UPDOWN

Allocation of all assets for next week

BTC: 20%, ETH: -10%, SOL: 5%, ...

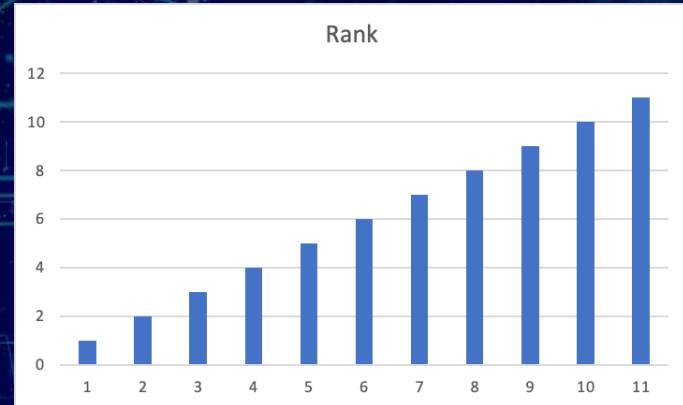
Total allocation without sign at most 100%



NEUTRAL

Relative performance of all assets (rank)

BTC: 10th, ETH: 2nd, SOL: 67th, ...

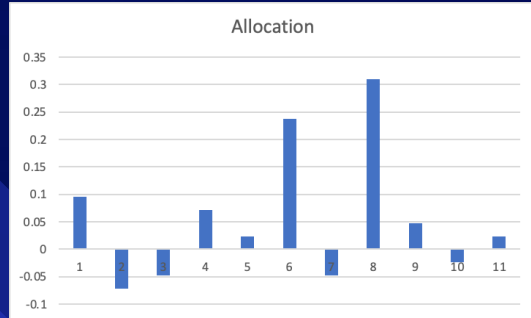




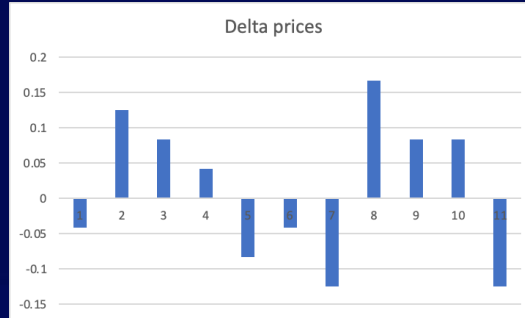
UPDOWN scores and rewards

How to score an UPDOWN prediction (allocation):

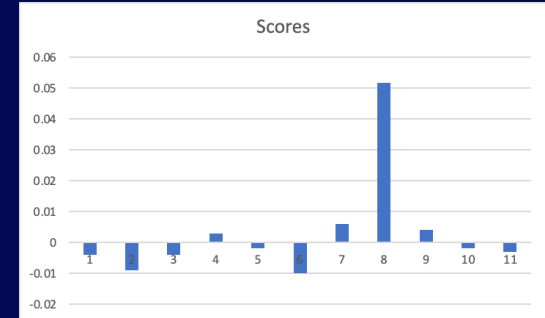
- Allocation: BTC: 20%, ETH: -10%, SOL: 5%, ...
- Delta prices: BTC: 15%, ETH: 5%, SOL: 15%, ...
- Score = Allocation · Delta prices
- Reward = Stake · Score



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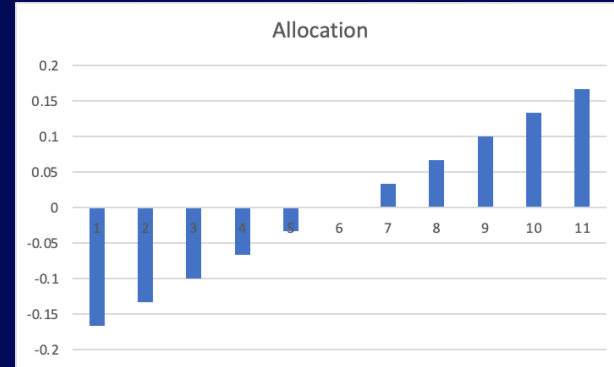
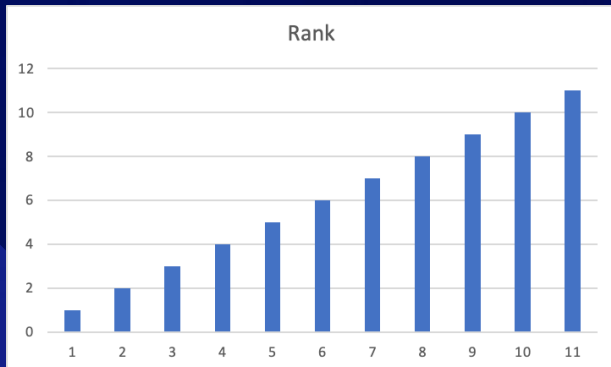




NEUTRAL scores and rewards

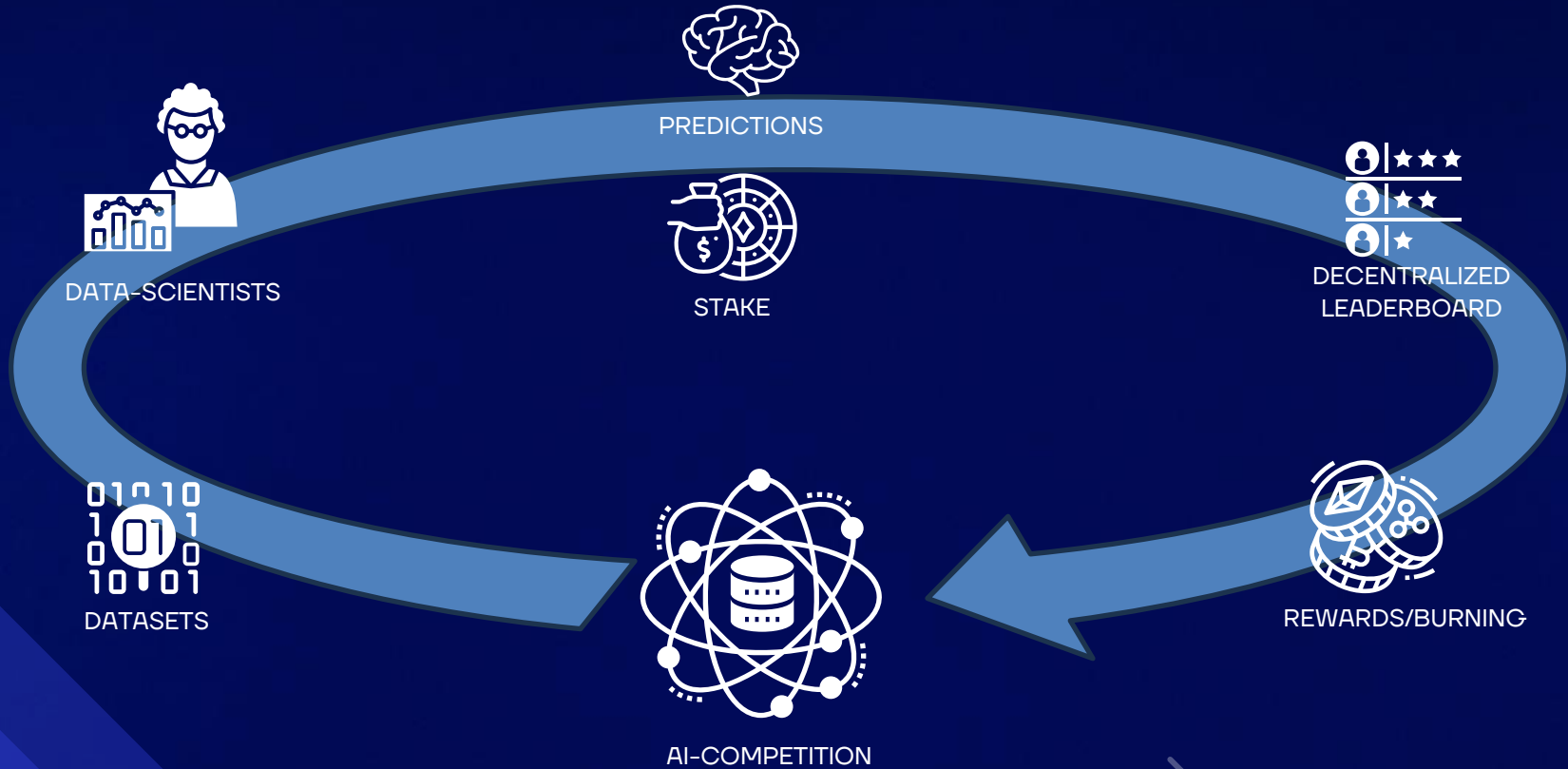
How to score a NEUTRAL prediction (rank):

- Transform ranks to market neutral allocation:
 - Assign negative allocation to lower ranks, and positive to higher ranks
 - Normalize so total allocation is 100%
- Then as with the UPDOWN prediction





Competition process





Markets and products

Markets

Markets are exchanges on a specific blockchain

- Solana
- Optimism
- BSC
- TON (coming soon)
- ...

Each market

- Operates on a subset of the assets
- Can be long-only or long-short
- Have different fees and other costs

A "market algebra" projects weekly predictions to market assets and adapts to market direction

Products

The projected predictions give different products:

- Individual products, from individual predictions
- "Top" products, from rotating individual predictions
- "Metamodel" products, combining individual predictions (stake weighted, performance weighted, ...)

From prediction to product

Prediction

AAVE	0.01 DAO	-2.08 LTC	-1.22 SFP	0.01
ADA	0.94 DOGE	2.85 MATIC	1.66 SFUND	-0.73
ALGO	0.11 DOT	1.66 MAV	-0.01 SHIB	-0.05
APE	0.37 DYDX	-1.76 MBOX	-2.35 SOL	4.51
APT	0.42 EOS	1.2 MKR	1.14 STG	-0.77
ATOM	0 ETC	0.18 MOON	0.26 SUI	2.15
AVAX	0.1 ETH	1.31 NEAR	-3 SUSHI	-0.33
AXS	-4.07 FET	10.54 OP	0.22 TIA	3.42
BAL	-1.18 FIL	0 PENDLE	-0.24 TOKEN	-1.16
BCH	2.83 FTM	1.81 PEPE	0.93 TRX	0.83
BLUR	-0.63 FXS	-0.24 PERP	0 UNI	2.15
BNB	0 GRT	-0.37 PIT	-1.39 XLM	2.25
BONK	0.89 HAI	-4.01 POLS	-0.49 XMR	-0.07
BTC	3.14 HERO	-0.94 PYTH	-0.55 XRP	2.83
C98	-0.22 ICP	0.92 QUACK	0.38 XTZ	2.45
CAKE	10.02 IMX	0 RDNT	-0.69 XVS	-1.54
COMP	0.01 INJ	2.51 RNDR	-1.4 YFI	-0.63
CRV	0.11 LDO	-0.42 RPL	-0.04	
CVX	-0.04 LINK	-0.04 RUNE	0.22	

Market assets

AAVE	0.01
ADA	0.94
AXS	-4.07
BTC	3.14
CAKE	10.02
DOGE	2.85
DYDX	-1.76
ETH	1.31
LINK	-0.04
MATIC	1.66
MOON	0.26
PENDLE	-0.24
QUACK	0.38
SUSHI	-0.33
XRP	2.83

Long assets

AAVE	0.01
ADA	0.94
BTC	3.14
CAKE	10.02
DOGE	2.85
ETH	1.31
MATIC	1.66
MOON	0.26
QUACK	0.38
XRP	2.83

Top 6 assets

BTC	3.14
CAKE	10.02
DOGE	2.85
ETH	1.31
MATIC	1.66
XRP	2.83

Product

BTC	14.4%
CAKE	45.9%
DOGE	13.1%
ETH	5%
MATIC	7.6%
XRP	13%

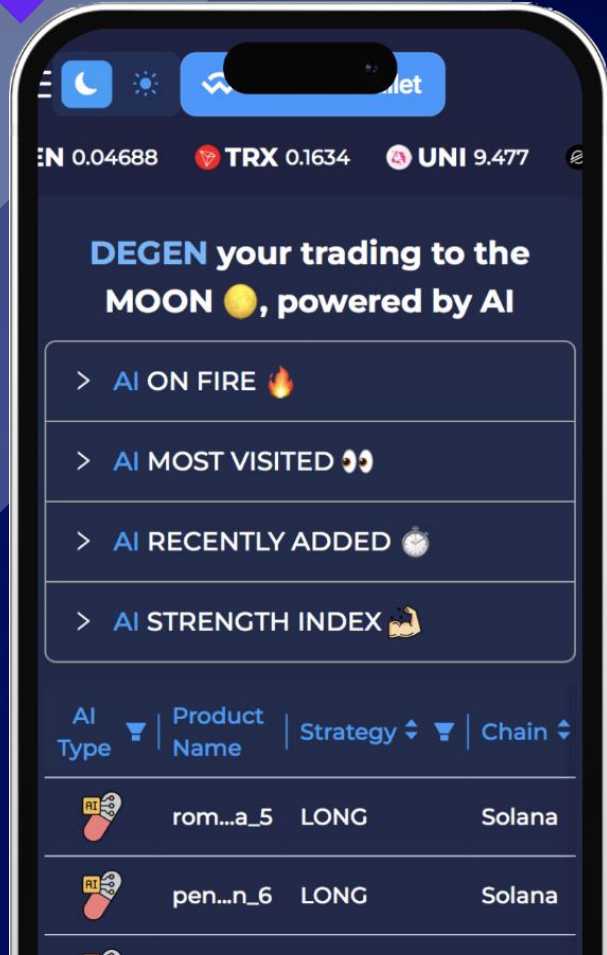
Marketplace

Products are weekly allocations.

All the products are presented on the Marketplace.

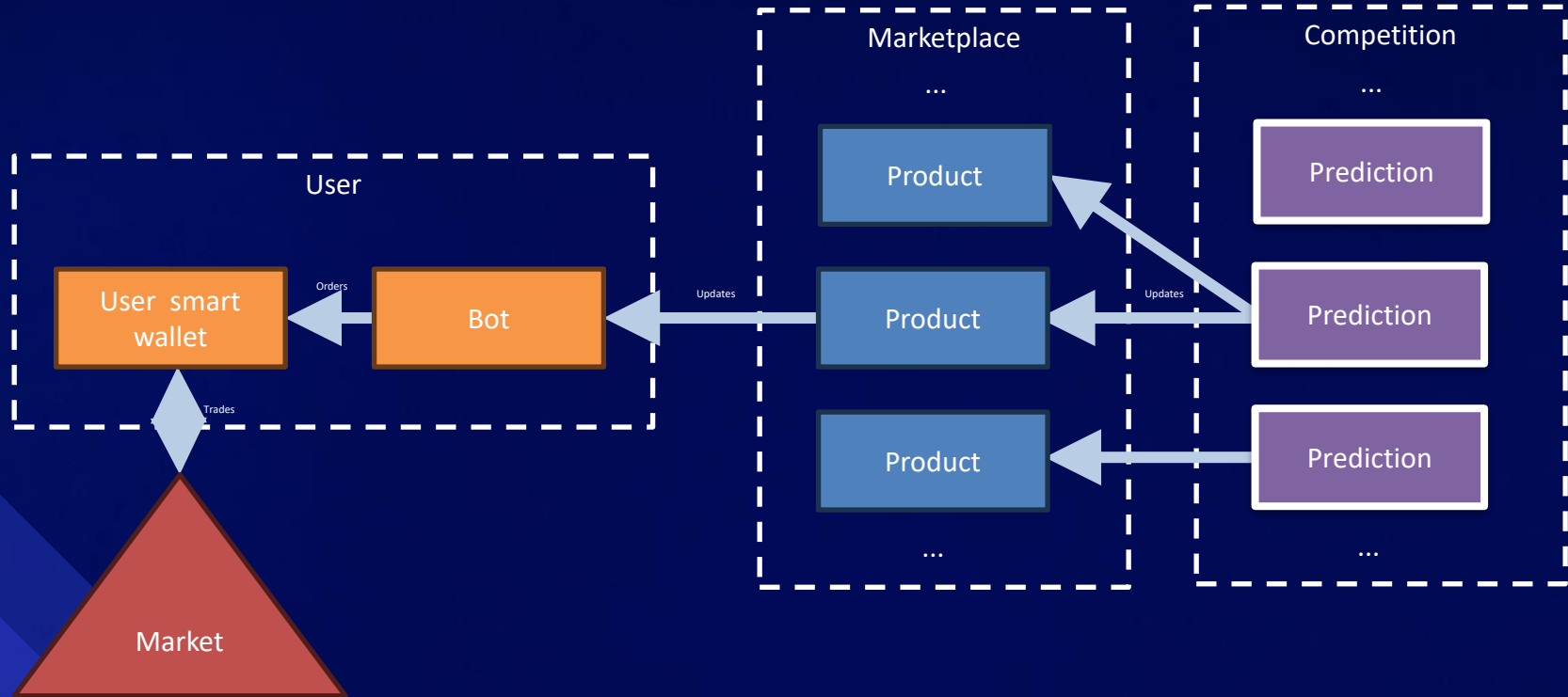
Example:

- 2 questions, 6 markets, 100 predictors, 3 top products, 3 metamodel products → 1272 products

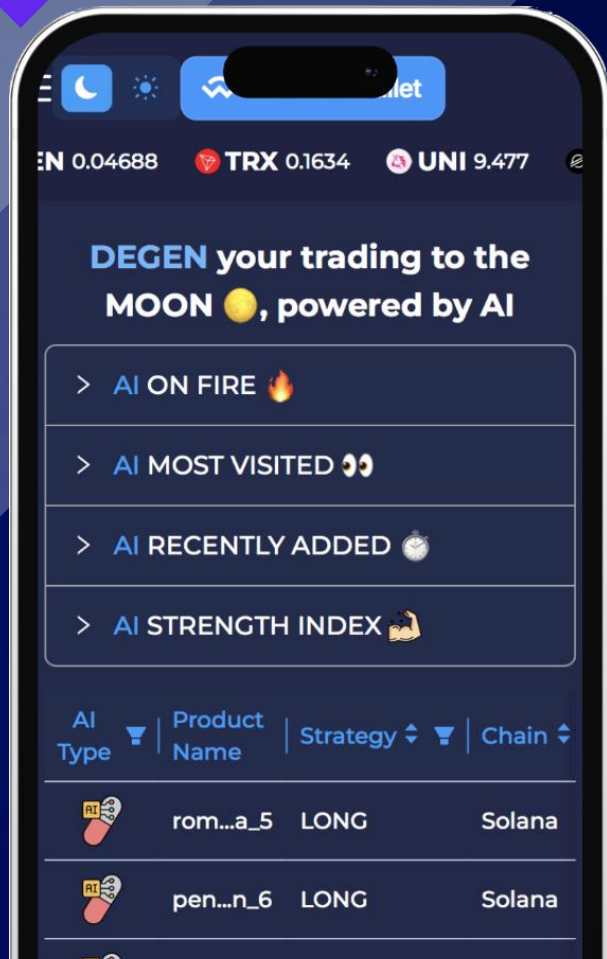




Marketplace bots



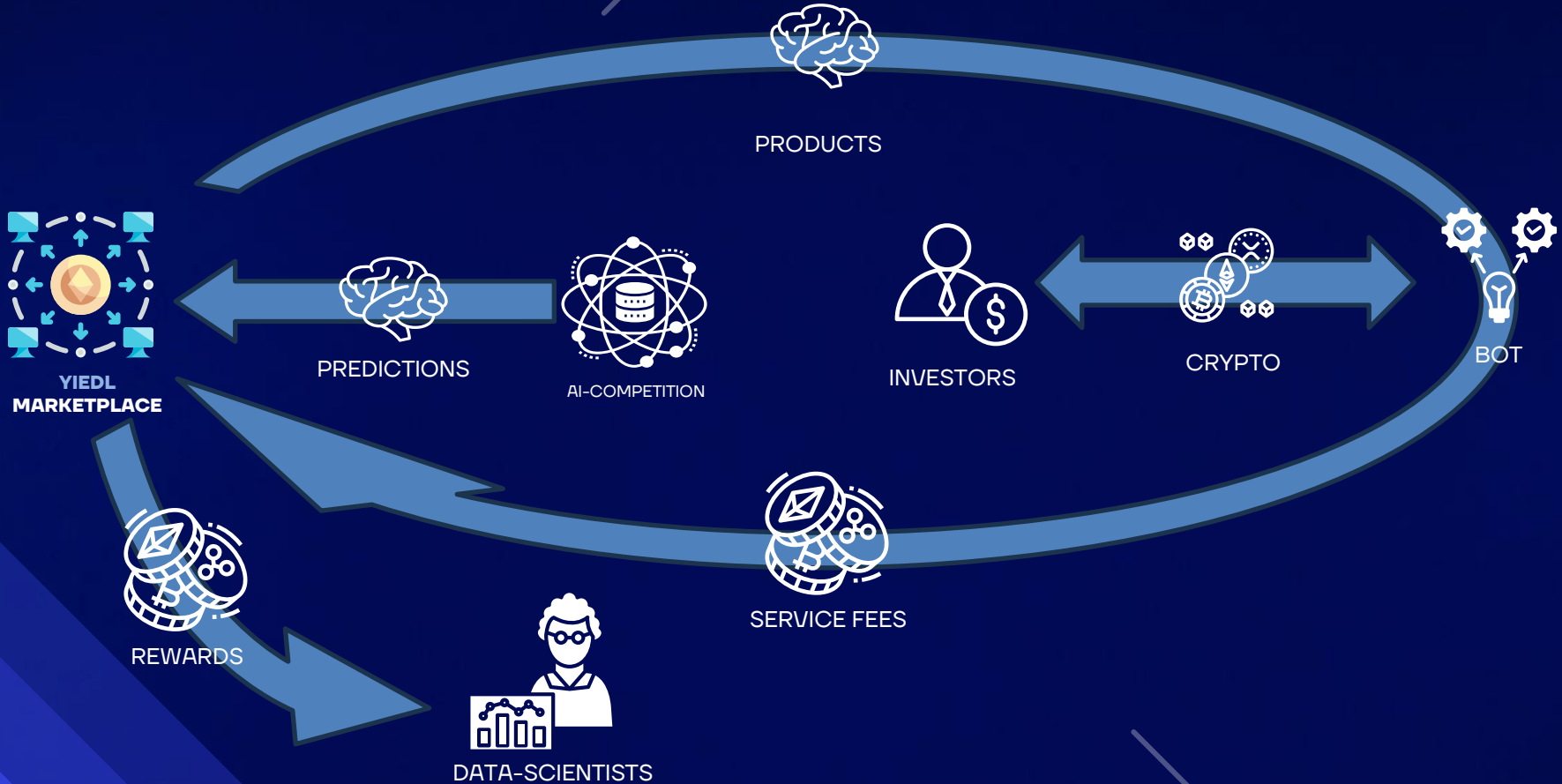
Marketplace rewards



- Each product comes with a share vector with the contribution % from all predictors
 - For individual products it has only one predictor
 - For top (rotating) products it has one rotating predictor
 - For metamodel products it has many predictor shares (stake% for stake weighted...)
- When a product is bought or updated weekly a small fee is paid to the Yiedl project
- The main part of this fee is distributed to the predictors that contributed to the product according to the share vector
- Competition rewards
 - Predictor → Prediction → Score → Reward
- Marketplace rewards
 - Predictor → Prediction → Product → Bot → Fee → Reward
- Total marketplace rewards are proportional to the weekly marketplace rotations



Marketplace process





Where we are

- **Competition** – Ok – even more decentralized
- **Questions** – Ok – more questions?
- **Scores and rewards policies** – Ok
- **Markets and product** – Ok
- **Marketplace bots** – Not yet
- **Marketplace rewards** – Not yet



Thank You

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Over to Lubin! →